

Environmental Scanning: The Canadian Hospitality Industry (Hotels & Restaurants)

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1. Introduction and Industry Snapshot

This report scans the external environment of Canada's hospitality industry, defined here as accommodation (hotels and resorts) and foodservice (quick-service, full-service and independent restaurants). The evidence comes from industry associations (Restaurants Canada, Hotels Canada), market data (CoStar), Statistics Canada, company filings, news coverage and consumer conversations on Reddit and TikTok.

The main finding is that demand is holding up, but profitability is not. Hotels had their best year on record in 2025, with occupancy of 66.1%, an average daily rate (ADR) of \$216.10 and revenue per available room (RevPAR) of \$142.89 (CoStar, 2026a). Restaurants are in a weaker position. Total foodservice sales are forecast to grow only 2.1% in 2026, and 41% of operators say they are losing money or breaking even (Foodservice and Hospitality, 2026; Restaurants Canada, 2026). The sections below explain the forces behind this gap and how operators can respond.

2. Key External Factors

Table 1 summarizes the most important external influences, the evidence behind each one, and what it means for hotels and restaurants.

Factor	Current development (evidence)	Impact on the industry
Economic	Food costs are a top concern for 88% of restaurant operators and labour costs for 89%. Two one-time boosts to 2025 sales, the GST/HST holiday and travel money spent at home instead of in the U.S., are fading in 2026 (Foodservice and Hospitality, 2026; Restaurants Canada, 2026). Hotel growth now comes mostly from price: in June 2026, occupancy fell 3.5% while ADR rose 5.4% (CoStar, 2026b).	Margins are being squeezed from both sides. Restaurants cannot raise prices much further without losing value-conscious guests, and hotels cannot rely on rate increases if fewer rooms are filled.
Political and legal	Because of the tariff dispute, Canadian return trips from the U.S. fell 25.4% to 29.1 million in 2025 (Statistics Canada, 2026a), and the decline continued for a 14th straight month in February 2026 (Statistics Canada, 2026b). Ottawa continues to cut temporary resident numbers (The Hill Times, 2026). Minimum wages rise each year with inflation: the federal rate is \$18.15 (April 2026), B.C. \$18.25 (June 2026) and Ontario \$17.95 (October 2026) (Littler, 2026). The Competition Act now bans drip pricing, and Quebec's Law 25 tightens consent rules for personal data.	Domestic demand gets a boost, but labour costs go up while the supply of workers shrinks. Advertised prices must include mandatory fees, such as resort fees. Collecting guest data for analytics now requires clear consent.
Social	83% of Canadians say too many businesses ask for tips, and 59% would prefer a no-tipping model with higher wages (Angus Reid Institute, 2023). The "Buy Canadian" movement has rewarded Canadian-owned brands. A&W's "Canadian owned and managed" signage was widely praised online (NOW Toronto, 2025). Reddit threads such as r/PersonalFinanceCanada are full of people cutting back on dining out.	Guests choose more carefully and expect honest, transparent pricing. Local identity is now a real source of competitive advantage.
Technological	79% of independent Canadian restaurant operators feel positive about using AI (TouchBistro, 2026). Self-order kiosks, mobile ordering, digital room keys, chatbots and	Technology reduces dependence on scarce labour and produces large amounts of data, but many operators still do not turn that data into

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	automated revenue-management systems are becoming standard.	decisions.
Environmental	The 2024 Jasper wildfire destroyed hundreds of structures and shut a major resort town during peak season. Wildfire smoke, extreme weather and federal rules on single-use plastics now shape operations. Corporate travel buyers increasingly ask about food waste and energy use.	Seasonal revenue becomes harder to predict, insurance and compliance costs rise, and sustainability becomes a factor when clients choose a venue.

Taken together, these factors show an industry where demand is shifting toward domestic and value-conscious guests just as operating costs and labour constraints become harder to manage.

3. Competitive Landscape

The market is split between large, well-funded chains and a long tail of independent operators. All of them are also competing with platforms and substitutes. Table 2 profiles the major players.

Competitor	Strengths	Weaknesses	Recent strategic moves
Tim Hortons (Restaurant Brands International)	6,209 restaurants worldwide, mostly in Canada; 20 straight quarters of positive same-store sales; strong purchasing power	Canadian same-store sales growth slowed from 3.6% to almost zero by Q2 2026	“Back-to-basics” menu upgrades (espresso, muffins, fountain drinks); new stores; loyalty partnership with Canadian Tire (Restaurant Brands International, 2026; Retail Insider, 2026a, 2026b)
A&W Canada	More than 1,000 Canadian locations; Canadian-owned and separate from the U.S. chain; ingredient-led brand	Smaller scale and marketing budget than McDonald’s; exposed to the same labour constraints as other quick-service chains	Displayed “Canadian owned and managed” signage during the trade war and gained goodwill on social media (NOW Toronto, 2025)
Recipe Unlimited (Fairfax)	Large multi-brand portfolio (Swiss Chalet, Harvey’s, The Keg) across price points	Heavy exposure to casual dining, the segment hit hardest by tight household budgets	Private ownership since 2022 allows restructuring without quarterly market pressure
Marriott, Hilton and Choice Hotels	Marriott has 300+ Canadian hotels and Hilton 200+; large loyalty programs and booking engines	Rely on rate growth; summer 2026 occupancy softened; owners pay high franchise fees	Marriott is adding about 11 hotels and Hilton about 15 in 2026, including midscale Spark by Hilton. Choice is opening six Ascend Collection hotels in Quebec (Rewards Canada, 2026; RENX, 2026; Hotel Investment Today, n.d.)
Independent restaurants and hotels	Local identity, flexibility and authentic stories that perform well on social media	Thin margins, little purchasing power and smaller technology budgets	Adopting POS analytics and AI tools to offset labour shortages (TouchBistro, 2026)
Platforms and substitutes	Airbnb, Uber Eats and DoorDash offer convenience and reach, and they own the customer relationship	Short-term rental limits (e.g., B.C.’s principal-residence rule) shrink Airbnb supply; restaurants resent high delivery commissions	Platforms keep adding paid memberships and advertising, which shifts margin away from operators

The competitive takeaway is that chains defend their share through scale, loyalty programs and data, while independents compete on local identity and authenticity. Hotel supply is still growing even as occupancy softens, so pricing power will weaken unless demand keeps pace.

4. Market Changes, Emerging Trends and Opportunities

- **Travel spending has shifted toward Canada.** Far fewer Canadians are driving south, and Restaurants Canada credits this redirected spending with part of the strength in 2025 sales. Opportunity: regional getaway packages, partnerships with national parks, and marketing aimed at Canadian travellers, especially outside Toronto and Vancouver.
- **Big events help, but less than expected.** During the 2026 FIFA World Cup, hotel occupancy actually dipped in Toronto and Vancouver, though higher rates offset part of the loss. Restaurants did better: card spending rose 12% and international visitors spent 57% more (CBC News, 2026; CoStar, 2026c). Opportunity: base event plans on data, not hype.
- **Consumers want value and transparency.** TikTok “budget eats” and “is it worth it?” reviews draw large audiences, and tipping fatigue is widespread. Guests still spend, but only where the price feels fair. Opportunity: fixed-price menus, bundled hotel packages, and service-included pricing pilots.
- **Labour scarcity is speeding up automation.** In early 2026, 46% of hotels lost temporary foreign workers to expiring permits, and 58% expect shortages over the next year (Hotelier Magazine, 2026). Opportunity: kiosks, mobile check-in and AI-assisted scheduling that let smaller teams deliver the same service.
- **Unstructured data is underused.** Reviews on Google, TripAdvisor and Reddit give honest feedback on service, cleanliness and value, yet most operators read them one by one. Opportunity: sentiment analysis that turns thousands of comments into measurable service priorities.

5. Recommendations

Each recommendation in Table 3 responds directly to a challenge identified above and comes with a business intelligence tool or KPI to track results.

Challenge	Recommended action	BI tool / KPI
Margin squeeze	Restaurants: use menu engineering to cut or reprice low-margin items, and renegotiate supplier contracts. Hotels: grow ancillary revenue (parking, food and beverage, early check-in) instead of relying on room rate alone.	Weekly cost dashboard; prime cost (food + labour) at 60–65% of sales; GOPPAR
Labour shortages and rising wages	Schedule staff based on demand forecasts from POS and booking history. Cross-train employees, and invest in retention (staff housing in resort towns, clear career paths) instead of relying on temporary foreign workers.	Sales per labour hour; staff turnover rate
Value-sensitive, fee-averse guests	Advertise all-in prices, offer prix fixe menus and bundled stays, and test lower default tip prompts or service-included pricing.	Average cheque; visit frequency; review sentiment on “price”
Shift to domestic travel and Buy Canadian	Build packages for Canadian travellers with local tourism boards, and promote Canadian suppliers on menus and in hotel amenities.	Share of domestic bookings; package uptake
Data that goes unused	Combine PMS, POS, reservation and loyalty data in a data warehouse to create a single view of each guest. Collect consent in line with PIPEDA and Quebec’s Law 25.	Repeat-guest rate; guest lifetime value; sentiment score
Climate and event volatility	Build demand forecasts that include event calendars and weather. Plan scenarios for wildfire season and offer flexible cancellation policies.	Forecast accuracy; revenue lost to closures

Implementation can be phased. In the first three months, launch the cost dashboard and the pricing changes. From months three to twelve, build the data warehouse, forecasting and sentiment analysis.

6. Conclusion

Canadian hospitality is not short of demand. Domestic travel, major events and loyal local customers keep people coming through the doors. What it is short of is margin and workers. The operators that will do well are the ones that treat data as a strategic asset: tracking costs every week, listening to guests at scale, and planning around evidence instead of hype.

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